

CLASS 10 · ICSE · SELINA CONCISE MATHEMATICS · PYQ SOLUTIONS

Chapter 3: Shares and Dividend

Step-by-step solutions to the previous year questions

The question numbers match the PYQ question sheet.

1 Return on investment

1. A company pays a 12% dividend on its shares. An investor's return on his investment is 10%. The shares were bought: (a) at par (b) below par (c) above par (d) cannot be determined

ICSE 2025, 1 mark

SOLUTION

The return (10%) is less than the dividend rate (12%), so each share cost more than its nominal value.

Answer: (c)

2. A man buys ₹200 shares of a company at a premium of 25%. His return on the investment is 5%. Find (a) the market value of a share (b) the dividend per cent declared (c) the number of shares bought if his annual dividend is ₹1000. ICSE 2025, 3 marks

SOLUTION

(a) Market value = $200 + 25\% \text{ of } 200 = 250$. **Market value: ₹250.**

(b) Income per share = $5\% \text{ of } 250 = 12.50$. Dividend per cent = $\frac{12.50}{200} \times 100$. **Dividend: 6.25%.**

(c) Number of shares = $\frac{1000}{12.50}$. **80 shares.**

3. A company has 500 shares of nominal value ₹120 and declares an annual dividend of 15%. Find (a) the total dividend paid by the company (b) the annual income of a man who holds 80 shares (c) the market value of each share if his return is 10%. ICSE 2020, 3 marks

SOLUTION

Dividend on one share = $15\% \text{ of } 120 = 18$.

(a) Total dividend = $500 \times 18 = 9000$

(b) Income from 80 shares = $80 \times 18 = 1440$

(c) Return = $\frac{18}{\text{market value}} \times 100 = 10$, so market value = 180.

Answer: (a) ₹9000 (b) ₹1440 (c) ₹180

2 Shares and their values

4. Shares of nominal value ₹75 are available at a discount of 20%. How much is needed to buy 15 shares? (a) ₹60 (b) ₹90 (c) ₹1350 (d) ₹900 **ICSE 2024, 1 mark**

SOLUTION

Market value of one share = $75 - 20\%$ of 75 = 60

Cost of 15 shares = $15 \times 60 = 900$

Answer: (d)

3 Dividend

5. A man invests ₹33,000 in ₹100 shares of a company at a premium of 10%. The company declares a dividend of 12%. Find (a) the number of shares he buys (b) his annual dividend. **ICSE 2024, 3 marks**

SOLUTION

(a) Market value of one share = $100 + 10 = 110$. Number of shares = $\frac{33000}{110} = 300$.

(b) Dividend on one share = 12% of 100 = 12. Annual dividend = $300 \times 12 = 3600$.

Answer: (a) 300 shares (b) ₹3600

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